organisations and enclaves of other governments that are physically located in the territory.

GDP is a production measure as it is obtained by summing the gross value added of all resident institutional units, in their capacities as producers, and adding the values of any taxes, less subsidies, on production or imports to the gross value added.

2. Net Domestic Product (NDP)

Net Domestic Product (NDP) is arrived after deducting Consumption of Fixed Capital from gross domestic product.

NDP = GDP – Consumption of Fixed Capital

In principle, the concept of value added should not include the consumption of fixed capital. Consumption of fixed capital is not a current expenditure. It is a reduction in the value of previously created fixed assets when they are used up in the production process. It is just a reduction in the value of fixed assets. Wear and tear is like evaporation of petrol and diesel. It means it is spent but did not benefit anybody. It is a part of expenditure in the production process but not of income of anybody who is involved in the production process. Thus, theoretically, value added should be a net concept and GDP should be a net concept. Hence consumption of fixed capital is deducted from GDP and thereby NDP is arrived at.

However, gross measures of product and income are commonly used for various reasons. It is due to difficulty in measuring and obtaining data of consumption of fixed capital and to enable international comparison. The calculation of consumption of fixed capital requires that statisticians estimate the present value of the stock of fixed assets, the lifetime of various types of assets, patterns of depreciation, etc. Estimation requires well qualified statisticians, data and tools which generally not available in all countries. Hence, not all countries make such calculations. The estimations done by different countries are not comparable due to the difference in the methodology followed and